



# Chapter 10

## Basic Organizational Design



# OUTLINE

- Defining Organizational Structure
  - Work specialization
  - Departmentalization
  - Chain of Command
  - Span of Control
  - Centralize vs. Decentralize
  - Formalization
- Org. Design Decisions
  - Mechanistic and Organic
  - Contingency Factors
  - Common Designs



# Defining Organizational Structure

- Organizational Structure
  - The formal arrangement of jobs within an organization
- Organizational Design
  - A process involving decisions about six key elements:
    1. Work specialization
    2. Departmentalization
    3. Chain of command
    4. Span of control
    5. Centralization and decentralization
    6. Formalization



# Exhibit 10.1 Purposes of Organizing

- **Divides work to be done into specific jobs and departments**
- **Assigns tasks and responsibilities associated with individual jobs**
- **Coordinates diverse organizational tasks**
- **Clusters jobs into units**
- **Establishes relationships among individuals, groups, and departments**
- **Establishes formal lines of authority**
- **Allocates and deploys organizational resources**

# Organizational Structure

- Work Specialization
  - The degree to which tasks in the organization are divided into separate jobs with each step completed by a different person
    - Overspecialization can result in human diseconomies from boredom, fatigue, stress, poor quality, increased absenteeism, and higher turnover

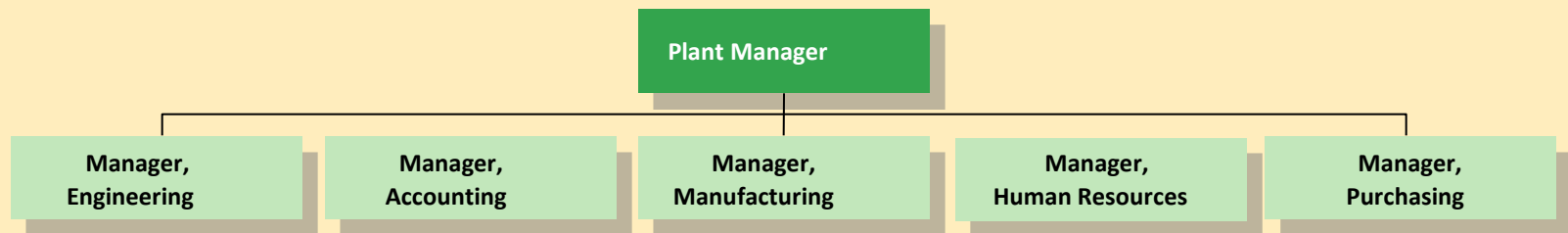




# Departmentalization by Type

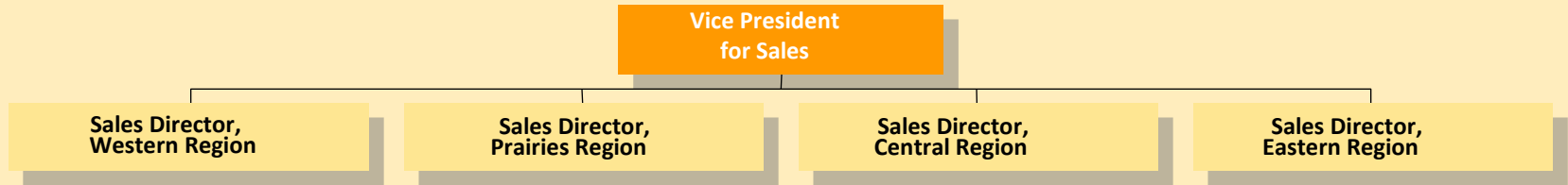
- Functional
  - Grouping jobs by functions performed
- Product
  - Grouping jobs by product line
- Geographical
  - Grouping jobs on the basis of territory or geography
- Process
  - Grouping jobs on the basis of product or customer flow
- Customer
  - Grouping jobs by type of customer and needs

# Exhibit 10.2a Functional Departmentalization



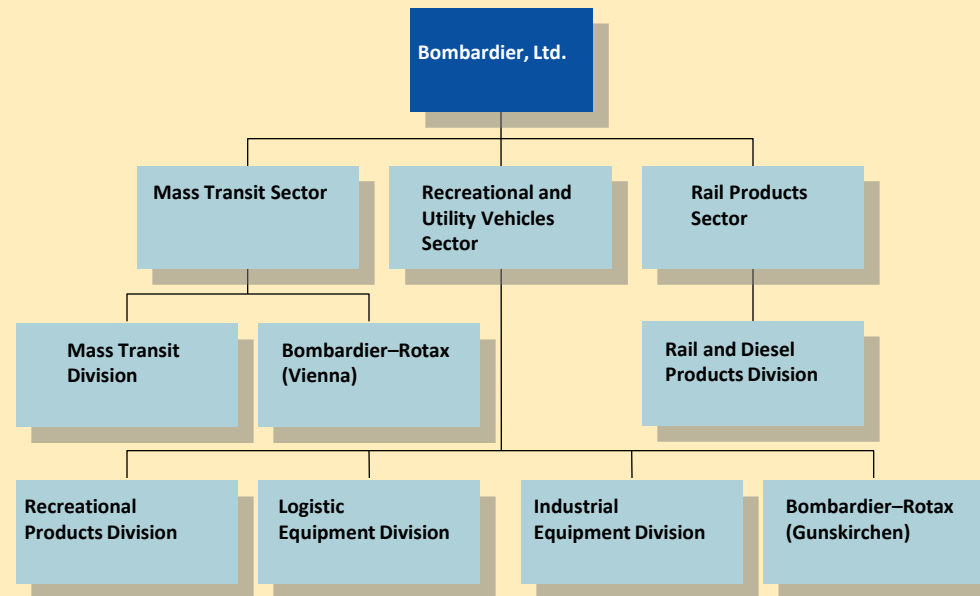
- + Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations
- + Coordination within functional area
- + In-depth specialization
- Poor communication across functional areas
- Limited view of organizational goals

# Exhibit 10.2b Geographical Departmentalization



- + More effective and efficient handling of specific regional issues that arise
- + Serve needs of unique geographic markets better
- Duplication of functions
- Can feel isolated from other organizational areas

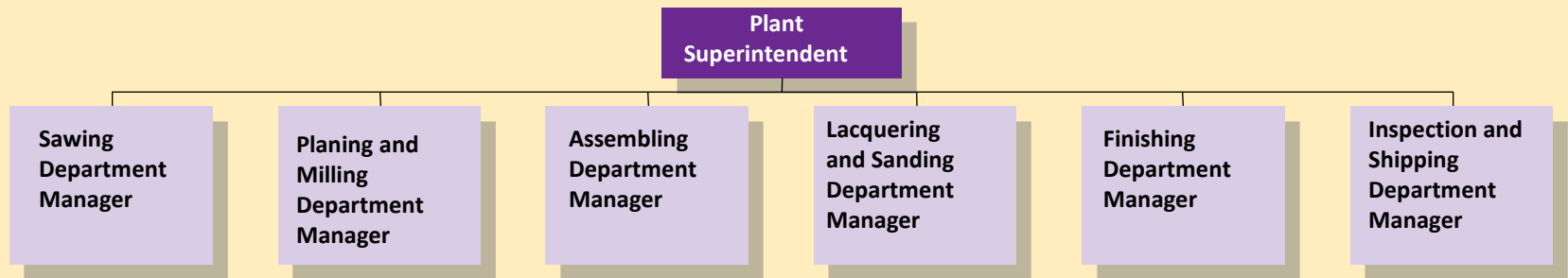
# Exhibit 10.2c Product Departmentalization



- + Allows specialization in particular products and services
- + Managers can become experts in their industry
- + Closer to customers
- Duplication of functions
- Limited view of organizational goals

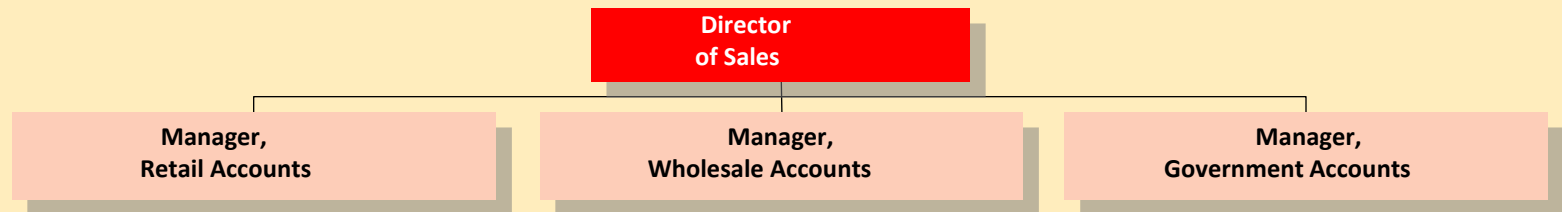
**Source:** Bombardier Annual Report.

# Exhibit 10.2d Process Departmentalization



- + More efficient flow of work activities**
- Can only be used with certain types of products**

# Exhibit 10.2e Customer Departmentalization



- + Customers' needs and problems can be met by specialists
- Duplication of functions
- Limited view of organizational goals



# Assignment 01

- Think of a place where you have (or do) work(ed). Looking at the various forms of departmentalization...choose an example from one of your group members places of employment and answer the following:
  - Which would have been (would be) the most appropriate model of departmentalization for this workplace? Why – explain your rationale?

# Organizational Structure (cont'd)

- Chain of Command
  - The continuous line of authority that extends from upper levels of an organization to the lowest levels of the organization and clarifies who reports to whom





# Organizational Structure (cont'd)

- Authority
  - The rights inherent in a managerial position to tell people what to do and to expect them to do it
- Responsibility
  - The obligation or expectation to perform. Responsibility brings with it accountability (the need to report and justify work to manager's superiors)
- Unity of Command
  - The concept that a person should have one boss and should report only to that person
- Delegation
  - The assignment of authority to another person to carry out specific duties



# Organizational Structure (cont'd)

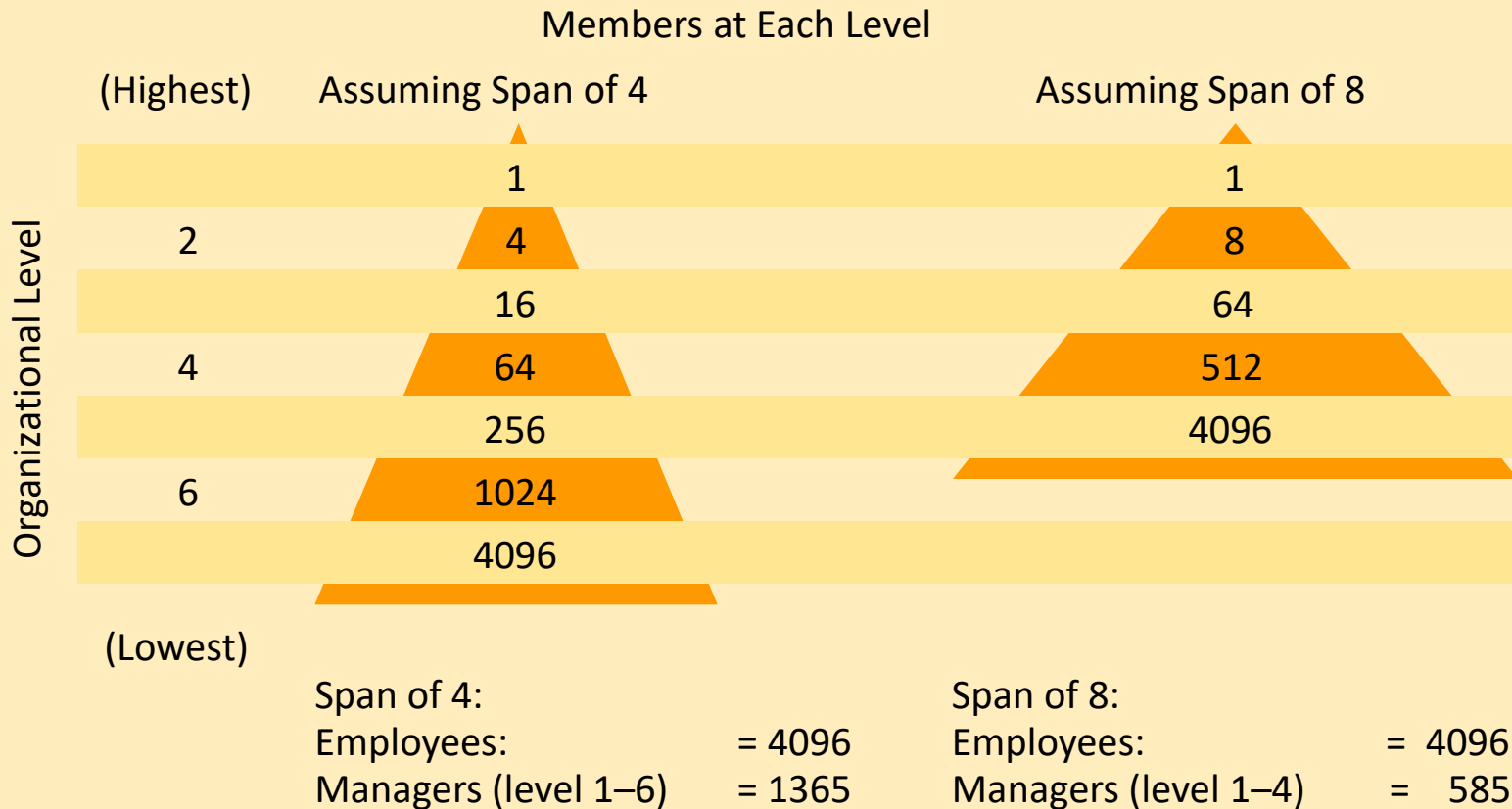
- Line and Staff Authority
  - Line managers are responsible for the essential activities of the organization, including production and sales. Line managers have the authority to issue orders to those in the chain of command
    - The president, the production manager, and the sales manager are examples of line managers
  - Staff managers have advisory authority, and cannot issue orders to those in the chain of command (except those in their own department)



# Organizational Structure (cont'd)

- Span of Control
  - The number of employees who can be effectively and efficiently supervised by a manager
  - Width of span is affected by:
    - Skills and abilities of the manager and the employees
    - Characteristics of the work being done
    - Similarity of tasks
    - Complexity of tasks
    - Physical proximity of subordinates
    - Standardization of tasks
    - Sophistication of the organization's information system
    - Strength of the organization's culture
    - Preferred style of the manager

# Exhibit 10.3 Contrasting Spans of Control





# Organizational Structure (cont'd)

- Centralization
  - The degree to which decision making is concentrated at a single point in the organization
    - Organizations in which top managers make all the decisions and lower-level employees simply carry out those orders
- Decentralization
  - The degree to which lower-level employees provide input or actually make decisions
  - Employee Empowerment
    - Increasing the decision-making discretion of employees



# Figure 10.4a Factors that Influence the Amount of Centralization

- More Centralization
  - Environment is stable
  - Lower-level managers are not as capable or experienced at making decisions as upper-level managers
  - Lower-level managers do not want to have a say in decisions
  - Decisions are significant
  - Organization is facing a crisis or the risk of company failure
  - Company is large
  - Effective implementation of company strategies depends on managers retaining say over what happens



# Figure 10.4b Factors that Influence the Amount of Decentralization

- More Decentralization
  - Environment is complex, uncertain
  - Lower-level managers are capable and experienced at making decisions
  - Lower-level managers want a voice in decisions
  - Decisions are relatively minor
  - Corporate culture is open to allowing managers to have a say in what happens
  - Company is geographically dispersed
  - Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions



# Organizational Structure (cont'd)

- Formalization
  - The degree to which jobs within the organization are standardized and the extent to which employee behaviour is guided by rules and procedures.



# Organizational Design Decisions

- Mechanistic Organization
  - A rigid and tightly controlled structure
- Organic Organization
  - Highly flexible and adaptable structure

## Mechanistic

- High Specialization
- Rigid Departmentalization
- Clear Chain of Command
- Narrow Spans of Control
- Centralization
- High Formalization

## Organic

- Cross-Functional Teams
- Cross-Hierarchical Teams
- Free Flow of Information
- Wide Spans of Control
- Decentralization
- Low Formalization



# Structural Contingency Factors

- Structural decisions are influenced by:
  - Overall strategy of the organization
    - Organizational structure follows strategy
  - Size of the organization
    - Firms change from organic to mechanistic organizations as they grow in size
  - Technology use by the organization
    - Firms adapt their structure to the technology they use
  - Degree of environmental uncertainty
    - Dynamic environments require organic structures; mechanistic structures need stable environments



# Structural Contingency Factors (cont'd)

- Strategy Frameworks:
  - Innovation
    - Pursuing competitive advantage through meaningful and unique innovations favours an organic structuring
  - Cost minimization
    - Focusing on tightly controlling costs requires a mechanistic structure for the organization
  - Imitation
    - Minimizing risks and maximizing profitability by copying market leaders requires both organic and mechanistic elements in the organization's structure



# Structural Contingency Factors (cont'd)

- Strategy and Structure
  - Achievement of strategic goals is facilitated by changes in organizational structure that accommodate and support change
- Size and Structure
  - As an organization grows larger, its structure tends to change from organic to mechanistic with increased specialization, departmentalization, centralization, and rules and regulations



# Structural Contingency Factors (cont'd)

- Technology and Structure
  - Organizations adapt their structures to their technology
  - Routine technology = mechanistic organizations
  - Non-routine technology = organic organizations



# Common Organizational Designs

- Traditional Designs

- Simple Structure

- Low departmentalization, wide spans of control, centralized authority, little formalization

- Functional Structure

- Departmentalization by function
      - Operations, finance, human resources, and product research and development

- Divisional Structure

- Composed of separate business units or divisions with limited autonomy under the coordination and control of the parent corporation



# Exhibit 10.7 Strengths and Weaknesses of Common Traditional Organizational Designs

| Structure                   | Strengths                                                                                                                                                                  | Weaknesses                                                                                                                                                                                                 |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Simple Structure</b>     | Fast; flexible; inexpensive to maintain; clear accountability.                                                                                                             | Not appropriate as organization grows; reliance on one person is risky.                                                                                                                                    |
| <b>Functional Structure</b> | Cost-saving advantages from specialization (economies of scale, minimal duplication of people and equipment) and employees are grouped with others who have similar tasks. | Pursuit of functional goals can cause managers to lose sight of what's best for overall organization; functional specialists become insulated and have little understanding of what other units are doing. |
| <b>Divisional Structure</b> | Focuses on results—division managers are responsible for what happens to their products and services.                                                                      | Duplication of activities and resources increases costs and reduces efficiency.                                                                                                                            |



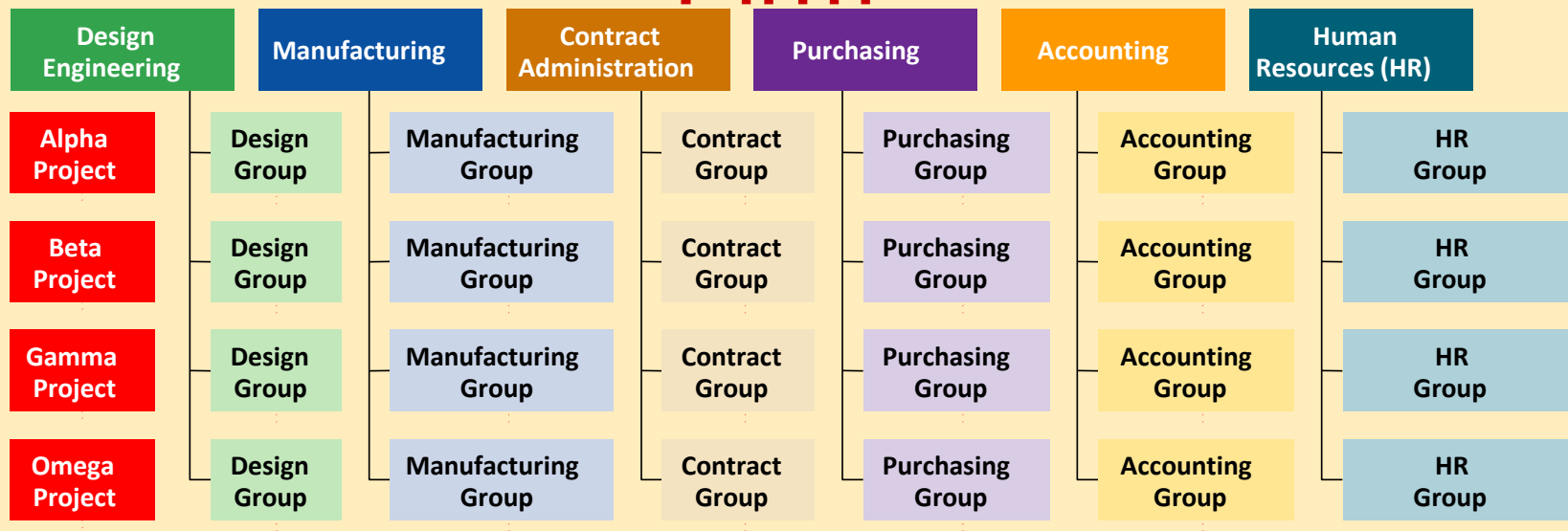
# Organizational Designs (cont'd)

- Contemporary Organizational Designs
  - Team Structures
    - The entire organization is made up of work groups or self-managed teams of empowered employees
  - Matrix Structures
    - Specialists for different functional departments are assigned to work on projects led by project managers
    - Matrix participants have two managers
  - Project Structures
    - Employees work continuously on projects, moving on to another project as each project is completed

# Exhibit 10.8 Contemporary Organizational Designs

| Structure                    | Description                                                                                                                                                                                                                                                                                                  | Advantages                                                                                                                           | Disadvantages                                                                                     |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| <b>Team</b>                  | A structure in which the entire organization is made up of work groups or teams.                                                                                                                                                                                                                             | Employees are more involved and empowered.<br>Reduced barriers among functional areas.                                               | No clear chain of command.<br>Pressure on teams to perform.                                       |
| <b>Matrix-Project</b>        | Matrix is a structure that assigns specialists from different functional areas to work on projects but who return to their areas when the project is completed. Project is a structure in which employees continuously work on projects. As one project is completed, employees move on to the next project. | Fluid and flexible design that can respond to environmental changes.<br>Faster decision making.                                      | Complexity of assigning people to projects.<br>Task and personality conflicts.                    |
| <b>Boundaryless</b>          | A structure that is not defined by or limited to artificial horizontal, vertical, or external boundaries; includes virtual, networked, and modular types of organizations.                                                                                                                                   | Highly flexible and responsive.<br>Draws on talent wherever it's found.                                                              | Lack of control.<br>Communication difficulties.                                                   |
| <b>Learning Organization</b> | A structure that supports an organization's capacity to continuously adapt and change.                                                                                                                                                                                                                       | Employees are continuously sharing and applying knowledge.<br>Ability to learn can be a source of sustainable competitive advantage. | Getting employees to share what they know can be difficult.<br>Collaboration conflicts can arise. |

# Exhibit 10.9 A Matrix Organization in an Aerospace Firm





# Organizational Designs (cont'd)

- Contemporary Organizational Designs (cont'd)
  - **Boundaryless Organization**
    - A flexible and an unstructured organizational design that is intended to break down external barriers between the organization and its customers and suppliers
    - Removes internal (horizontal) boundaries:
      - Eliminates the chain of command
      - Has limitless spans of control
      - Uses empowered teams rather than departments
    - Eliminates external boundaries:
      - Uses virtual, network, and modular organizational structures to get closer to stakeholders

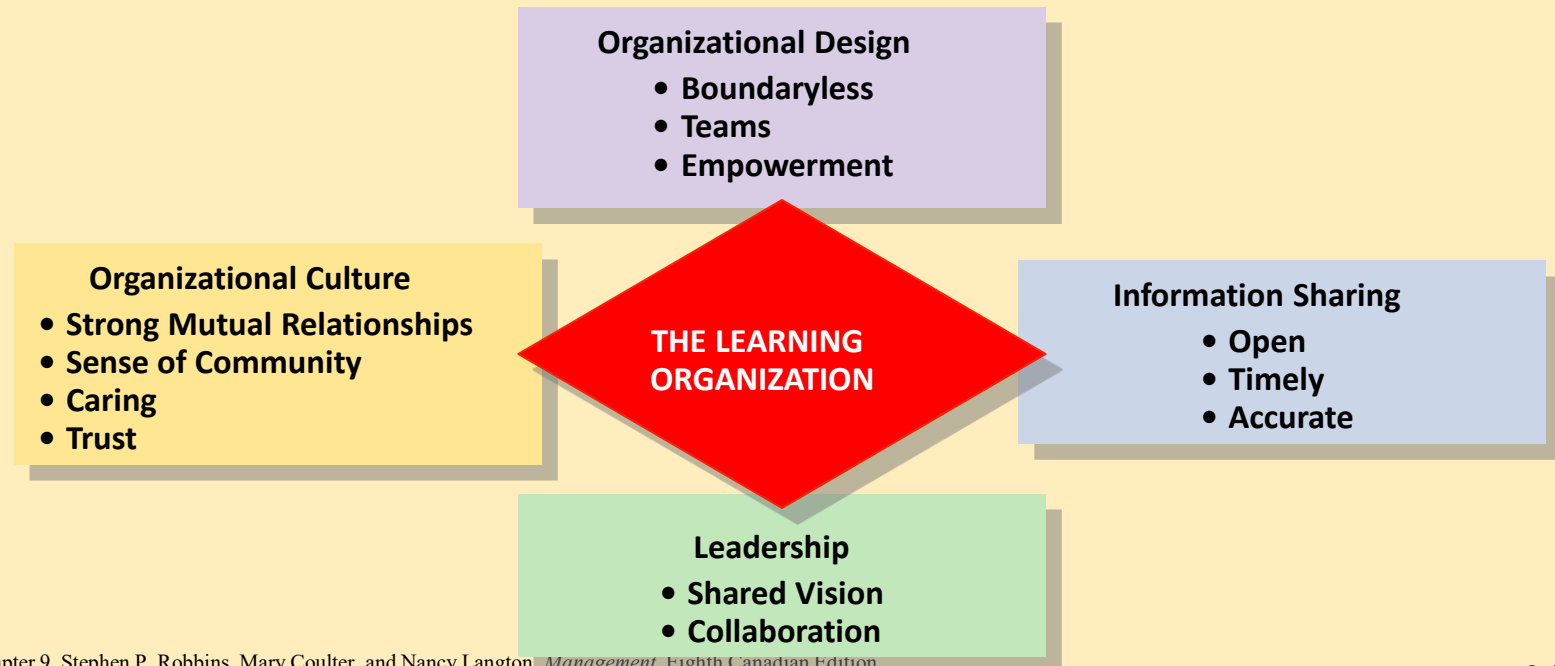


# Removing Boundaries

- Virtual Organization
  - An organization that consists of a small core of full-time employees and that temporarily hires specialists to work on opportunities that arise
- Network Organization
  - A small core organization that outsources its major business functions (e.g., manufacturing) in order to concentrate on what it does best
- Modular Organization
  - A manufacturing organization that uses outside suppliers to provide product components for its final assembly operations

# Organizational Designs (cont'd)

- **Learning Organization**
  - An organization that has developed the capacity to continuously learn, adapt, and change through the practice of knowledge management by employees





# Thanks!

Any Question?